

The Largest Cybersecurity Fines in History

Estimated time needed: 7 minutes

Objectives

After completing this lab, you will be able to:

- Identify the ways organizations violated data privacy and security law
- Explain the reasons why the fines were imposed on each organization

Introduction

Cybersecurity compliance failures can lead to significant financial penalties, legal repercussions, and reputational damage for organizations. Over the years, several high-profile organizations have been penalized with record-breaking fines related.

Some of the largest cybersecurity fines in history

Let's examine the largest cybersecurity compliance fines to date.

Meta (formerly Facebook) fine in 2023

In May 2023, Meta was fined £183 million (\$1.3 billion) by Ireland's Data Protection Commission (DPC) for violating the General Data Protection Regulation (GDPR). The fine was imposed because Meta unlawfully transferred personal data from the European Union to the United States without implementing adequate data privacy safeguards.

Didi Global fine in 2022

In 2022, the Cyberspace Administration of China fined Didi Global, a ride-hailing company, 8.026 billion yuan (\$1.19 billion US). The fine resulted from a year-long investigation into Didi's security practices and suspected illegal activities. They were said to have violated China's network security law, data security law, and personal information protection law.

Amazon fine in 2021

In the summer of 2021, Amazon was fined €746 million (\$877 million US) by Luxembourg's data privacy regulators for breaches of the GDPR. The fine was issued because Amazon had used a behavioral advertising system without receiving adequate consent from users.

Equifax data breach in 2017

Equifax, one of the largest credit reporting agencies in the US, experienced a massive data breach in 2017. The breach exposed the personal information of approximately 147 million individuals. Equifax agreed to pay up to \$700 million US in fines and settlements.

British Airways data breach in 2018

In 2018, British Airways experienced a data breach that exposed the personal and financial data of almost 500,000 customers. The breach was caused by a malicious script injected into the airline's website and mobile app, capturing customer data as it was entered. British Airways was fined £183 million (\$230 million US) by the UK's Information Commissioner's Office (ICO) for failing to protect customer data.

WhatsApp data breach in 2021

In September 2021, Ireland's Data Protection Commission (DPC) fined WhatsApp €225 million (\$267 million). They were fined for noncompliance with GDPR's transparency obligations to users and non-users of WhatsApp's services. The fine was issued in response to a complaint made by privacy activist Max Schrems. The complaint suggested that WhatsApp had not been transparent about sharing personal data between WhatsApp and several Facebook companies in 2018.

Google France fine in 2019

In 2019, Google France was fined €50 million (\$56 million US) by the French National Commission on Informatics and Liberty (CNIL). The fine was because of a lack of transparency and failure to receive consent for ad personalization. This fine was one of the largest ever issued by the CNIL.

Conclusion

Studying these cases can help cybersecurity professionals understand the profound financial and reputational consequences of cybersecurity failures and regulatory noncompliance. By analyzing the missteps of major corporations like Meta, Didi, and Amazon, organizations can learn the importance of prioritizing data protection, implementing robust security measures, and adhering to global privacy laws to avoid similar costly mistakes.

Summary

In this reading, you learned that:

- Meta and Amazon faced multi-billion and multi-million-dollar fines for breaching GDPR, demonstrating how strict data privacy laws can result in severe financial consequences.
- Google France was fined significant amounts for failing to meet transparency and consent requirements, underlining the high cost of failing to adhere to data protection laws.

- Regulatory actions in different regions, such as fines for Didi in China and British Airways in the UK, show that cybersecurity fines are a global issue, with authorities actively penalizing violations.
- Companies like Equifax and British Airways incurred substantial fines and settlements due to data breaches, emphasizing the financial impact of failing to secure user information.

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